NOMURA

Global Markets Research
19 July 2026

Xtep 1368.HK 1368 HK

EQUITY: CONSUMER RELATED

Core brand sales dropped in 2Q26

Sales momentum weakened meaningfully in 2Q26; downgrade to Neutral

Rating Down from Buy	**Neutral**
Target price Reduced from HKD 6.90	**HKD 4.20**
Closing price 17 July 2026	**HKD 3.69**
Implied upside	**+13.8%**
Market Cap (USD mn)	1,325.0
ADT (USD mn)	7.6

Relative performance chart

Source: LSEG, Nomura

Weakened 2Q26 sales performance

Xtep reported a set of mediocre 2Q26 operating data (17 July): the Xtep core brand recorded a y-y sales decline of mid-single-digit% (MSD%) in 2Q26, leading to a low-single-digit% (LSD%) y-y sales decline in 1H26. The softening sales momentum was due to tepid demand, Xtep's less exposure to shopping malls with higher consumer foot traffic, intensified competition in the mass market, as well as unfavorable weather conditions. On the other hand, for the historically fast-growing Saucony brand as well, sales moderated with only LSD% y-y growth of 2Q26 sales, slowing down from the 20%+ y-y growth in 1Q26 (*Fig. 1*). Saucony's declining sales momentum was mainly due to the brand's conservative actions for the online channel with no aggressive promotions, dragging its online sales; the offline sales of Saucony still grew 20%+ y-y in 2Q26. In all, we see growing uncertainties for the company to defend its market share, mainly considering the sluggish sales of the Xtep core brand. We thus reduce FY26F revenue/earnings estimates by 2-3%/4-5% (*Fig. 2*), leading to a lowered target price of HKD4.20. We downgrade Xtep to Neutral from Buy. We prefer ANTA (2020 HK, Buy).

Core brand suffers more, while Saucony should retain premium recognition

The Xtep core brand has seen a worsening inventory level to 4.5-5.0 months in 2Q26 (from 1Q26's 4.5 months), as a result of the brand's sluggish sales growth and pre-stocking for 2H26; the areas of growth for Xtep core brand mainly come from e-commerce, Xtep Young, and the brand's running segment. Meanwhile, we believe the Saucony brand is still upholding its premium consumer perception well; Saucony has taken proactive measures to uplift its brand recognition, such as strict discount controls (especially across e-commerce platforms), offline channel upgrades by expanding new stores at prime locations in shopping malls, and deeper engagement with elite consumer clusters through community events. We expect the Saucony brand should emerge as one of the major sales growth driver of Xtep in the next few years.

Downgrade to Neutral; cut target price to HKD4.20 (implied upside of 13.8%)

We downgrade Xtep to Neutral and cut our target price to HKD4.20 (from HKD6.90 previously) based on a reduced F12M P/E of 8.5x (vs. 14.0x previously), which is close to the stock's 5-year average F12M P/E, applied to our lowered FY26F earnings.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	14,151	14,566	14,300	15,021	14,649	15,484	15,045
Reported net profit (mn)	1,372	1,283	1,237	1,395	1,330	1,499	1,433
Normalised net profit (mn)	1,372	1,283	1,237	1,395	1,330	1,499	1,433
FD normalised EPS	46.58c	43.59c	42.02c	51.00c	48.63c	60.87c	58.19c
FD norm. EPS growth (%)	-5.2	-6.4	-9.8	17.0	15.7	19.4	19.7
FD normalised P/E (x)	7.2	–	8.0	–	6.9	–	5.8
EV/EBITDA (x)	3.4	–	2.5	–	2.9	–	1.7
Price/book (x)	0.9	–	0.8	–	0.7	–	0.7
Dividend yield (%)	7.6	–	7.4	–	8.0	–	8.6
ROE (%)	14.5	12.2	11.8	12.5	11.9	12.6	12.1
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Xtep

Performance

(%)	1M	3M	12M		
Absolute (HKD)	-10.2	-18.5	-30.5	M cap (USDmn)	1,325.0
Absolute (USD)	-10.3	-18.7	-30.4	Free float (%)	51.0
Rel to Hang Seng Index	-13.1	-14.1	-32.6	3-mth ADT (USDmn)	7.6

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	13,577	14,151	14,300	14,649	15,045
Cost of goods sold	-7,712	-8,088	-8,163	-8,335	-8,500
Gross profit	5,865	6,063	6,137	6,314	6,545
SG&A	-4,295	-4,562	-4,810	-4,854	-4,940
Employee share expense	396	517	509	514	520
Operating profit	1,966	2,019	1,836	1,974	2,125
EBITDA	2,341	2,316	2,170	2,350	2,548
Depreciation	-360	-293	-327	-366	-410
Amortisation	-15	-5	-8	-10	-13
EBIT	1,966	2,019	1,836	1,974	2,125
Net interest expense	-98	-100	-81	-81	-81
Associates & JCEs	33	54	26	22	18
Other income	0	0	0	0	0
Earnings before tax	1,901	1,973	1,780	1,914	2,062
Income tax	-596	-602	-543	-584	-629
Net profit after tax	1,306	1,372	1,237	1,330	1,433
Minority interests	0	0	0	0	0
Other items					
Preferred dividends					
Normalised NPAT	1,306	1,372	1,237	1,330	1,433
Extraordinary items					
Reported NPAT	1,306	1,372	1,237	1,330	1,433
Dividends	-604	-682	-616	-662	-713
Transfer to reserves	701	689	622	668	720
Valuations and ratios					
Reported P/E (x)	6.5	6.5	7.3	6.2	5.8
Normalised P/E (x)	6.5	6.5	7.3	6.2	5.8
FD normalised P/E (x)	6.8	7.2	8.0	6.9	5.8
Dividend yield (%)	7.1	7.6	7.4	8.0	8.6
Price/cashflow (x)	7.3	10.4	2.9	–	2.2
Price/book (x)	1.0	0.9	0.8	0.7	0.7
EV/EBITDA (x)	3.9	3.4	2.5	2.9	1.7
EV/EBIT (x)	4.7	3.8	3.0	3.5	2.0
Gross margin (%)	43.2	42.8	42.9	43.1	43.5
EBITDA margin (%)	17.2	16.4	15.2	16.0	16.9
EBIT margin (%)	14.5	14.3	12.8	13.5	14.1
Net margin (%)	9.6	9.7	8.7	9.1	9.5
Effective tax rate (%)	31.3	30.5	30.5	30.5	30.5
Dividend payout (%)	46.3	49.8	49.8	49.8	49.8
ROE (%)	14.9	14.5	11.8	11.9	12.1
ROA (pretax %)	14.8	15.7	14.6	15.4	16.2
Growth (%)					
Revenue	-5.4	4.2	1.1	2.4	2.7
EBITDA	24.2	-1.0	-6.3	8.3	8.4
Normalised EPS	25.9	0.1	-9.8	16.6	7.7
Normalised FDEPS	25.8	-5.2	-9.8	15.7	19.7

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,341	2,316	2,170	2,350	2,548
Change in working capital	142	-777	1,884	-2,074	1,859
Other operating cashflow	-1,255	-587	-598	-643	-692
Cashflow from operations	1,228	952	3,456	-367	3,715
Capital expenditure	-317	-264	-213	-215	-213
Free cashflow	911	688	3,244	-582	3,502
Reduction in investments	781	0	0	0	0
Net acquisitions	-82	-13	-229	-251	-275
Dec in other LT assets	-57				
Inc in other LT liabilities	-27	-11	0	0	57
Adjustments	296	269	0	0	0
CF after investing acts	1,879	933	3,014	-833	3,227
Cash dividends	-1,444	-610	-616	-662	-713
Equity issue	-5	229	0	0	0
Debt issue	-651	-919	0	0	0
Convertible debt issue	0	980	0	0	0
Others	-95	-135	69	64	57
CF from financial acts	-2,195	-456	-547	-598	-656
Net cashflow	-315	478	2,468	-1,431	2,570
Beginning cash	3,295	2,979	3,457	5,924	4,493
Ending cash	2,980	3,457	5,925	4,493	7,063
Ending net debt	-94	-1,478	-3,945	-2,514	-5,084

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,979	3,457	5,924	4,493	7,063
Marketable securities					
Accounts receivable	4,597	4,744	3,091	4,936	3,308
Inventories	1,596	1,829	1,973	1,909	2,050
Other current assets	2,058	2,192	2,192	2,192	2,192
Total current assets	11,230	12,222	13,181	13,530	14,613
LT investments	462	643	643	643	643
Fixed assets	1,669	1,760	1,793	1,815	1,823
Goodwill	4	4	4	4	4
Other intangible assets	17	25	30	33	34
Other LT assets	2,586	2,245	2,314	2,378	2,435
Total assets	15,968	16,899	17,964	18,403	19,552
Short-term debt	1,161	841	841	841	841
Accounts payable	2,095	1,756	2,131	1,838	2,210
Other current liabilities	2,026	2,103	2,103	2,103	2,103
Total current liabilities	5,283	4,699	5,075	4,781	5,153
Long-term debt	867	256	256	256	256
Convertible debt	857	882	882	882	882
Other LT liabilities	259	859	927	991	1,048
Total liabilities	7,266	6,696	7,141	6,911	7,340
Minority interest	0	0	0	0	0
Preferred stock	0	0	0	0	0
Common stock	24	25	25	25	25
Retained earnings					
Proposed dividends					
Other equity and reserves	8,679	10,178	10,799	11,468	12,188
Total shareholders' equity	8,703	10,203	10,824	11,493	12,213
Total equity & liabilities	15,968	16,899	17,965	18,404	19,552
Liquidity (x)					
Current ratio	2.13	2.60	2.60	2.83	2.84
Interest cover	20.2	20.2	22.6	24.3	26.2
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	51.30c	51.35c	46.32c	54.02c	58.19c
Norm EPS (CNY)	51.30c	51.35c	46.32c	54.02c	58.19c
FD norm EPS (CNY)	49.16c	46.58c	42.02c	48.63c	58.19c
BVPS (CNY)	3.42	3.82	4.40	4.67	4.96
DPS (CNY)	0.24	0.26	0.25	0.27	0.29
Activity (days)					
Days receivable	122.5	120.5	100.0	100.0	100.3
Days inventory	80.2	77.3	85.0	85.0	85.2
Days payable	107.1	86.9	86.9	86.9	87.1
Cash cycle	95.6	110.8	98.1	98.1	98.4

Source: Company data, Nomura estimates

Company profile

Xtep is a leading multi-brand sportswear company listed on the Hong Kong Stock Exchange in June 2008. The company mainly engages in the design, development, manufacturing, sales, marketing and brand management of sports products, including footwear, apparel and accessories. The company's core brand, Xtep, is a leading professional sportswear brand with an extensive distribution network. In 2019, the company further diversified its brand portfolio after its acquisition of K-Swiss, Palladium, Saucony and Merrell.

Valuation Methodology

Our target price of HKD4.20 is based on 8.5x FY26F P/E, which is close to the stock’s 5-year average F12M P/E. The benchmark for this stock is the HSI.

Risks that may impede the achievement of the target price

Key upside risks to our target price and Neutral rating include: 1) stronger-than-expected recovery in its core brand; 2) better-than-expected performance of Saucony. Downside risks include: 1) sluggish demand under the macroeconomic uncertainties; 2) weaker-than-expected operation enhancement; and 3) supply chain management inefficiency.

ESG

As one of the renowned global sportswear companies with 20 years of solid foundation, Xtep remains proactive in integrating sustainability across our supply chain. Xtep have continued to progress on sustainability goals by setting out long term sustainability working plan, strengthening the oversight of our sustainability governance, evaluating our Supplier Code of Conduct and assessments, investing in new environmental-friendly products, nurturing our people and taking up social responsibilities.

Fig. 1: Xtep – quarterly retail sales trend

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Core Xtep brand										
Retail sell-through growth (%, y-y)	+HSD	+10%	+MSD	+HSD	+MSD	+LSD	+LSD	flat	+LSD	-MSD
Retail discount level	25%-30%	25%	25%	25%-30%	25%-30%	25%-30%	25%-30%	25%-30%	25%-30%	25%-30%
Channel inventory turnover (months)	4.5–5.0	4.0	4.0	4.0	4.0	4.0-4.5	4.0-4.5	c.4.5	c.4.5	4.5–5.0
Saucony										
Retail sell-through growth (%, y-y)					>+40%	>+20%	>+20%	>+30%	>+20%	+LSD

Source: Company data, Nomura research

Fig. 2: Xtep – revisions to our forecasts

	Old			New			Chg %		
(CNY mn)	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Sales	**14,566**	**15,021**	**15,484**	**14,300**	**14,649**	**15,045**	**-1.8%**	**-2.5%**	**-2.8%**
COGS	(8,334)	(8,571)	(8,785)	(8,163)	(8,335)	(8,500)	-2.0%	-2.8%	-3.2%
Gross profit	**6,233**	**6,450**	**6,699**	**6,137**	**6,314**	**6,545**	**-1.5%**	**-2.1%**	**-2.3%**
SG&A	(4,856)	(4,917)	(5,022)	(4,810)	(4,854)	(4,940)	-0.9%	-1.3%	-1.6%
EBIT	**1,902**	**2,067**	**2,220**	**1,836**	**1,974**	**2,125**	**-3.5%**	**-4.5%**	**-4.3%**
PBT	1,847	2,007	2,157	1,780	1,914	2,062	-3.6%	-4.6%	-4.4%
Tax	(563)	(612)	(658)	(543)	(584)	(629)	-3.6%	-4.6%	-4.4%
NP to shareholders	**1,283**	**1,395**	**1,499**	**1,237**	**1,330**	**1,433**	**-3.6%**	**-4.6%**	**-4.4%**
EPS (Rmb)	**0.44**	**0.47**	**0.51**	**0.42**	**0.45**	**0.49**	**-3.6%**	**-4.6%**	**-4.4%**
DPS (Rmb)	**0.24**	**0.26**	**0.28**	**0.23**	**0.25**	**0.27**	**-3.6%**	**-4.6%**	**-4.4%**
GPM%	**42.8**	**42.9**	**43.3**	**42.9**	**43.1**	**43.5**	**0.1**	**0.2**	**0.2**
OPM%	**13.1**	**13.8**	**14.3**	**12.8**	**13.5**	**14.1**	**-0.2**	**-0.3**	**-0.2**
NPM%	**8.8**	**9.3**	**9.7**	**8.7**	**9.1**	**9.5**	**-0.2**	**-0.2**	**-0.2**

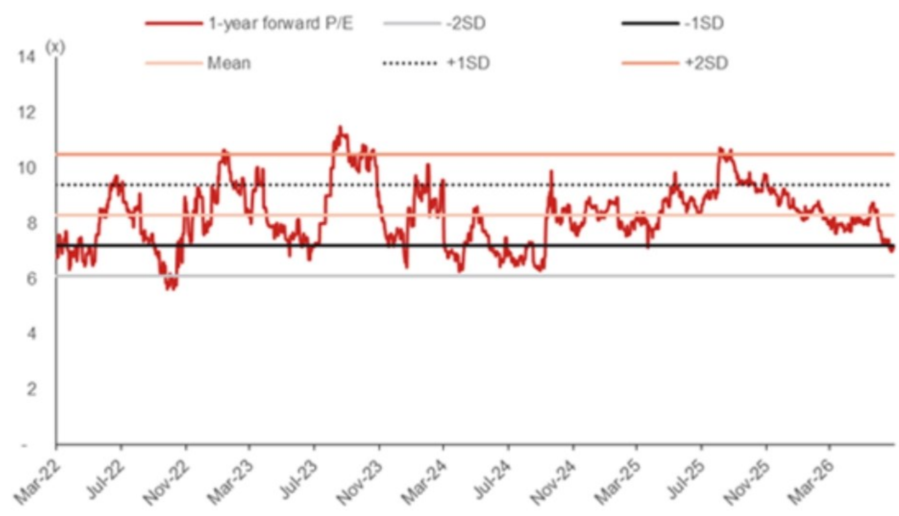
Source: Company data, Nomura estimates

Fig. 3: Xtep – valuation summary

Xtep valuation summary	
EPS (FY26F)	0.42
HKD/CNY	0.86
Multiple	8.5
TP	**4.20**

Source: Company data, Nomura research

Fig. 4: Xtep – 5-year historical P/E trend



Source: Bloomberg Finance L.P., Nomura research

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
See Disclaimers for Nomura Group entity details.

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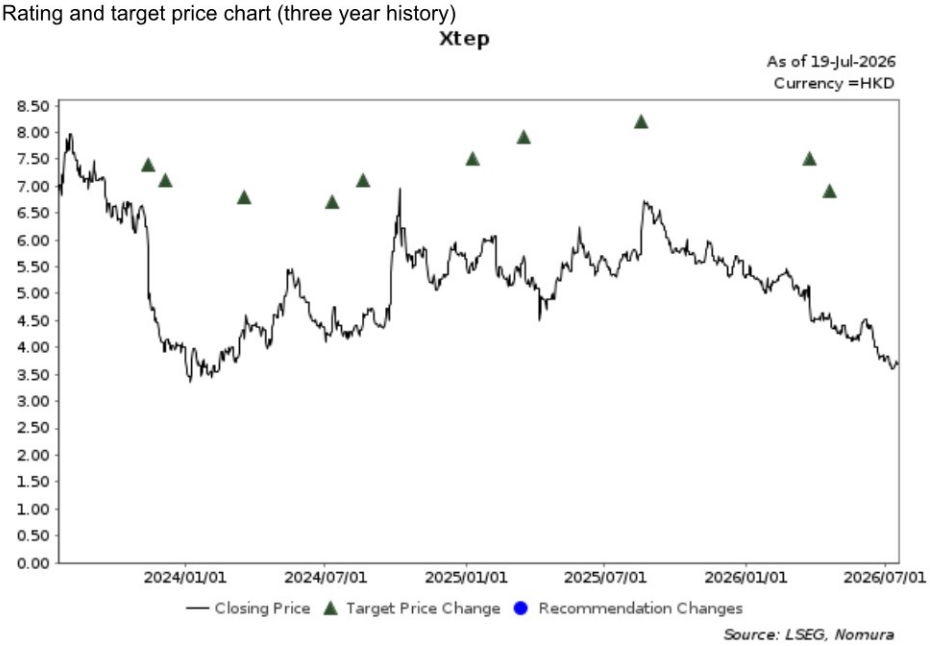
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Xtep	1368 HK	HKD 3.69	17-Jul-2026	Neutral	N/A	
ANTA Sports Products	2020 HK	HKD 74.15	17-Jul-2026	Buy	N/A	

Xtep (1368 HK) **HKD 3.69 (17-Jul-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
21-Apr-26		6.90	4.57
26-Mar-26		7.50	4.78
18-Aug-25		8.20	6.15
18-Mar-25		7.90	5.69
09-Jan-25		7.50	5.60
20-Aug-24		7.10	4.63
11-Jul-24		6.70	4.56
18-Mar-24		6.80	4.14
06-Dec-23		7.10	4.13
13-Nov-23		7.40	5.87

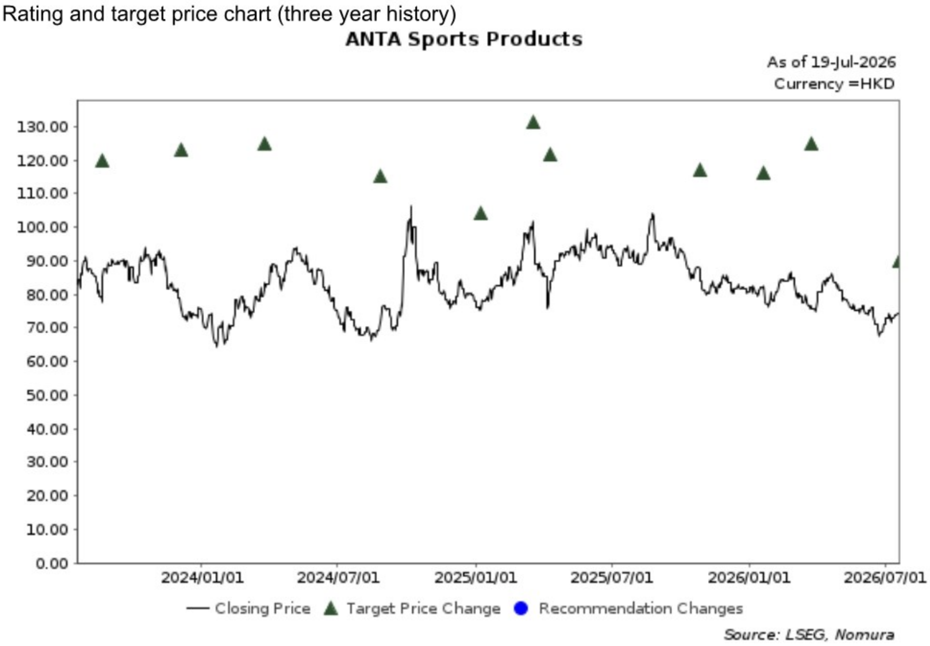
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of HKD4.20 is based on 8.5x FY26F P/E, which is close to the stock's 5-year average F12M P/E. The benchmark for this stock is the HSI.

Risks that may impede the achievement of the target price Key upside risks to our target price and Neutral rating include: 1) stronger-than-expected recovery in its core brand; 2) better-than-expected performance of Saucony. Downside risks include: 1) sluggish demand under the macroeconomic uncertainties; 2) weaker-than-expected operation enhancement; and 3) supply chain management inefficiency.

ANTA Sports Products (2020 HK) **HKD 74.15 (17-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
19-Jul-26		89.90	74.15
25-Mar-26		125.00	75.75
20-Jan-26		116.30	82.55
27-Oct-25		117.00	87.80
10-Apr-25		121.80	81.55
19-Mar-25		131.30	97.90
08-Jan-25		104.10	75.25
27-Aug-24		115.00	71.65
26-Mar-24		125.10	83.55
06-Dec-23		123.10	76.00
22-Aug-23		120.00	77.65

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of HKD125 for ANTA is based on 25x F12M P/E, equivalent to its five-year average forward P/E. The benchmark index of ANTA is the Hang Seng Index.
Risks that may impede the achievement of the target price Downside risks to our Buy rating and target price for ANTA include: 1) intensifying competition from both domestic and global players; 2) slower-than-expected sales growth; and 3) weaker-than-expected macroeconomic dynamics.

Important Disclosures

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As at 30 June 2026.
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*** As defined by the EU Market Abuse Regulation*

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STOCKS

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SECTORS

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